bestoasis

Recycling with the Best

Weekly Ship Recycling Report

28 October 2023 - 03 November 2023

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Highlights of the Week

This week, the ship recycling sector presented not so encouraging outlook, as seen by the waning enthusiasm of buyers in India owing to the weakening market. Consequently, the future trajectory of the industry is speculative. The issues related to LC in Bangladesh have significantly impacted this industry, resulting in a period of reduced demand and market distress. Pakistan is now facing comparable challenges related to the LC, as well as grappling with the effects of currency exchange changes on steel rates. This has resulted in a modest rise in the prices of steel goods on the local market. Turkiye, known for its relatively passive role, has recently seen limited momentum in terms of import dynamics and local price shifts.

As previously recommended, it is advisable for sellers to consider selling their assets at the current high price levels for the purpose of recycling, given that the average price over the last 10 years has been 320 USD and over the past five years has been 350 USD. The price may rapidly decrease to $400 USD from the current high price levels that are around 500 - 560 USD, hence it is advisable to take a move promptly.

The prices in the tanker market have seen an increase since the outbreak of the Gaza-Israel conflict, although bulk carriers seem to have concluded their period of strong performance, at least temporarily. The tanker industry is anticipated to have positive growth according to the estimates provided by the International Energy Agency (IEA). These projections indicate a potential rise in shipping tonne-miles of around 20% by the year 2030, taking into account the existing levels. A combination of factors such as the progressive relaxation of sanctions on Venezuela, the rise in Iranian oil output despite ongoing sanctions, and the limited number of pending orders for shipping vessels, instills a sense of optimism over future freight prices and the wet market. The projected increase in optimism for the future may have an impact on the accessibility of tanker tonnages for recycling purposes.

Exchange Rates:

USD / INR ₹

This Week	: 83.25
Previous Week	: 83.24
Lost	: 0.01

USD / BDT ৳

This Week	: 110.79
Previous Week	: 110.26
Lost	: 0.53

USD / PKR Rs

This Week	: 280.79
Previous Week	: 277.03
Lost	: 3.76

USD / TRY ₺

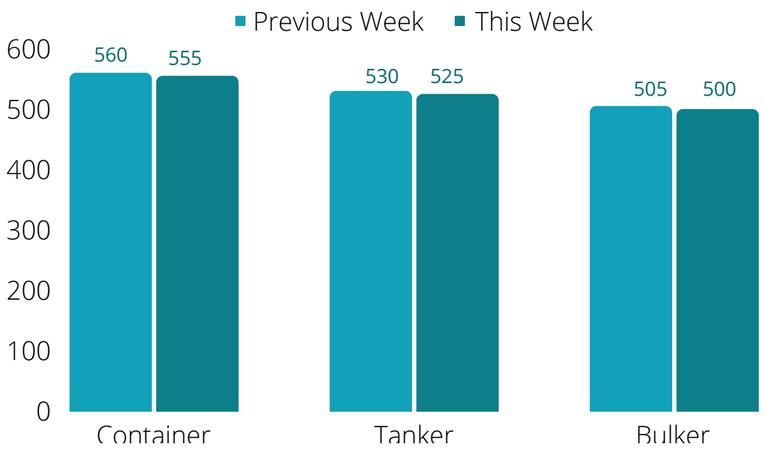
This Week	: 28.40
Previous Week	: 28.17
Lost	: 0.23

India

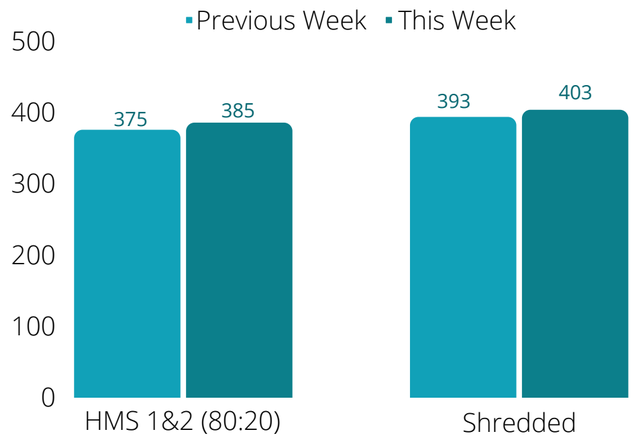
A market decline this week has affected buying interest, indicating that this market is uncertain.

- The markets have been declining since the previous week.
- A degree of uncertainty remains regarding the future trajectory of the market, which has resulted in a deceleration of purchasers' activity who were aggressive up until the previous week despite the market's decline.
- The potential imposition of limitations on scrap metal shipments by the European Union in an effort to reduce industrial emissions could impede the expansion of India's steel industry. Material Recycling Association of India (MRAI) indicates that India will face a very difficult situation due to the likelihood that the EU's new regulations will restrict supplies to India.

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

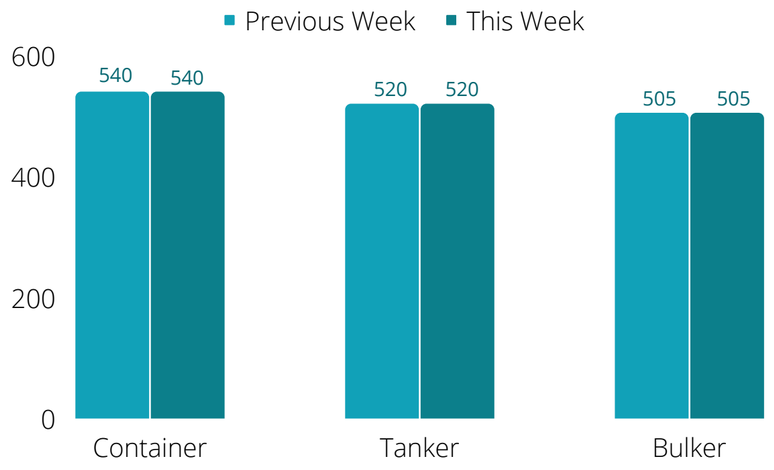
03 November 2023
12 November to 19 November 2023
25 November to 30 November 2023

Bangladesh

The market is sluggish and regressive, and LC issues are becoming more severe.

- The current state of the markets is similar to that of the previous week: slow and backward with not much demand and buying interest.
- The longstanding prevalence of LC problems has now escalated into a pressing concern that necessitates immediate attention, given its profound impact on the overall sentiment. In light of the forthcoming elections, the situation is extremely bleak.
- The current net reserves of Bangladesh stand at approximately $20 billion. A thorough analysis of the Balance of Payment (BoP) data clearly demonstrates that the government has largely exhibited an inability to effectively mitigate the consistent depletion of foreign exchange reserves.

Price for Recycling Ships in Bangladesh



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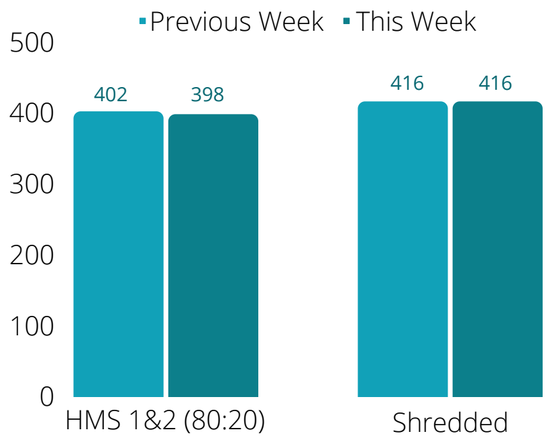


Beaching Dates

12 November to 15 November 2023

25 November to 28 November 2023

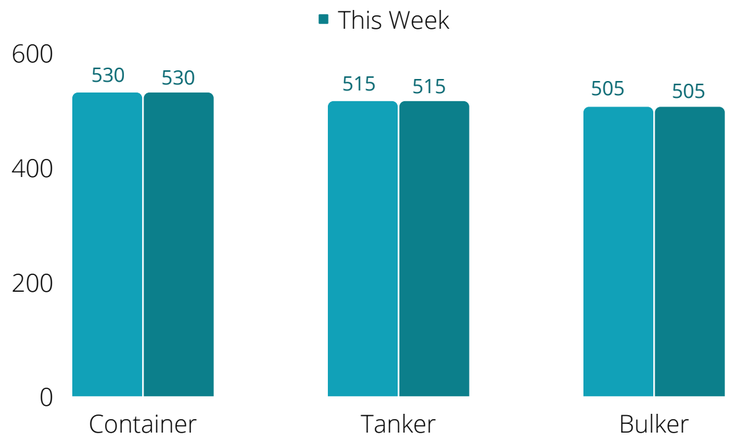
12 December to 15 December 2023

Pakistan

The market is in a perplexing condition as a result of its economic complications.

- The Pakistani rupee, having experienced a period of appreciation, is currently undergoing a depreciation trend, with its value currently standing at 280. This has resulted in a modest increase in the prices of steel products within the local market.
- The closure of numerous small rebar units in the Punjab province, as a consequence of smog, has resulted in a minor scarcity of rebar within the local market.
- The announcement of the general election, which had previously caused a state of uncertainty, has now been officially scheduled for the 9th of February.
- Furthermore, Pakistan still faces challenges in securing the necessary financing to open LCs.

Price for Recycling Ships in Pakistan



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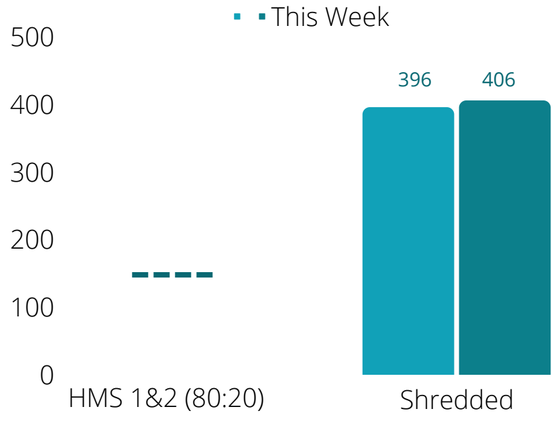


Beaching Dates

Throughout the month

Türkiye

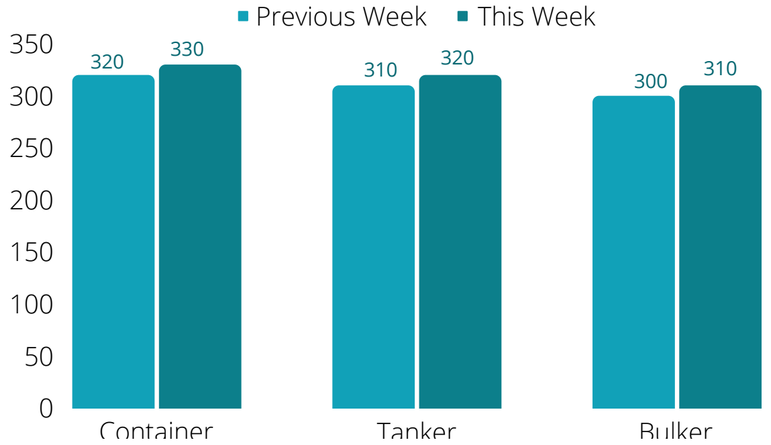
Both local and import markets have grown, and there has been a slight increase in tonnage supply.

- The market has experienced a notable increase of 12 USD in terms of imports, while a local surge of 10 USD has also been observed.
- There appears to be an apparent augmentation in the availability of tonnage.
- Imports of hot-rolled coils from China, India, Japan, and Russia have prompted an antidumping investigation by Turkiye. Assessing the financial harm caused by these imports, the investigation is being conducted in response to concerns raised by domestic steel producers.
- In bilateral commerce, Egypt and Turkiye are investigating the feasibility of employing local currencies.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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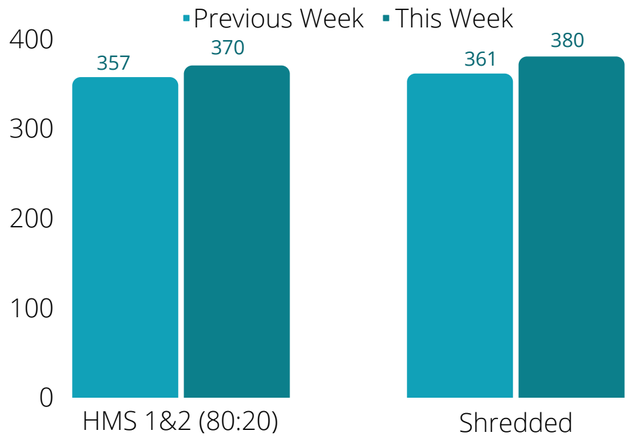
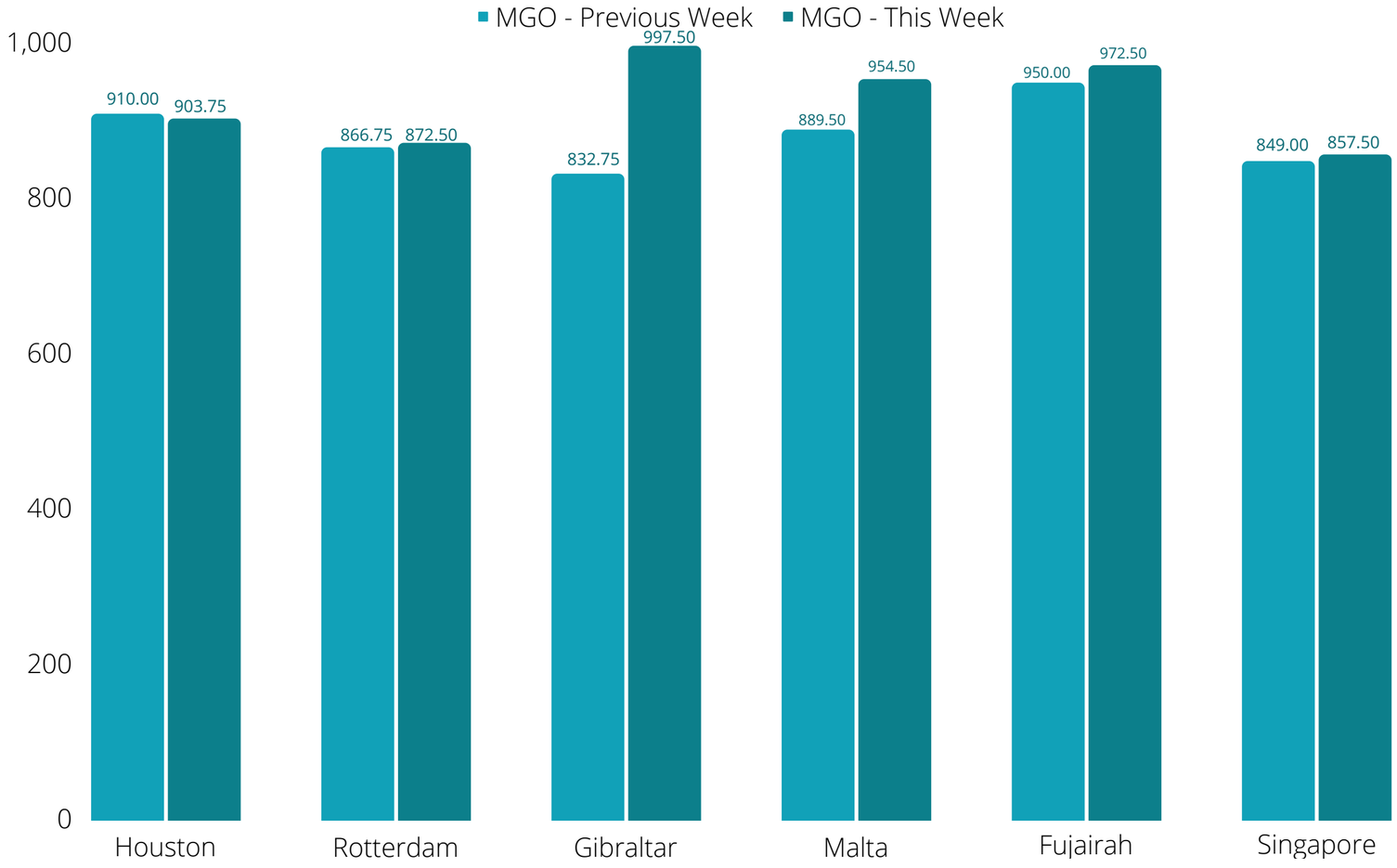


Bunker Prices at Port



Brent Crude

This Week	: 87.19
Previous Week	: 88.89
Movement	: - 1.7

WTI Crude

This Week	: 83.00
Previous Week	: 84.27
Movement	: - 1.27

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
COMANCHE	PIPELAYER	8757647	1969	AUSTRALIA	9,331	AS-IS	BATAM	390
PRIDE OF KENT	PASSENGER/RORO	9015266	1992	GERMANY	9,750	DELIVERED	ALIAGA, TURKEY	UNDISCLOSED
APJ UMA KISMAT	BULKER	9227675	2001	JAPAN	10,438	AS-IS	COLOMBO, SRILANKA	510
XIN FENG NINGBO	CONTAINER	9070163	1995	SOUTH KOREA	10,316	AS-IS	ZHOUSHAN, CHINA	UNDISCLOSED
WESTERN V	FISHING	8016342	1980	USA	868	DELIVERED	ALANG, INDIA	600
CHUAN ZE	GENERAL CARGO	-	2005	CHINA	2,755	DELIVERED	CHITTAGONG, BANGLADESH	450
HER WEN NO.1	FISH CARRIER	8680442	1988	TAIWAN	2,198	AS-IS	SINGAPORE	UNDISCLOSED
XIN DONG GUAN 3	BULKER	9132961	1996	JAPAN	9,700	AS-IS	HONG KONG	UNDISCLOSED
CASABLANCA A	CONTAINER	9106467	1996	POLAND	4,666	DELIVERED	ALIAGA, TURKEY	410

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